



Misaki Capital Inc.

Japan Constructivism

November 2014





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Japan Constructivism

- A Unique Methodology for Active Japanese Shareholder Engagement -

- Strategy: Engagement Strategy
- Target Investment: 10-15 listed Japanese equities
- Investment Team: Core team from former value-up fund with 8+ years of experience with this strategy
 - Mainly former management consultants and corporate professionals
- Organization: In addition to the investment team, our organization involves an “All Japan” group of partners
 - Strategic alliance with one of the largest independent Japanese management consulting firms with a vast network into business, academia, and government
 - Management advisory committee members include respected and influential figures in Japan that specialize in corporate value, legal/compliance, accounting, corporate strategy, and macroeconomics
 - Independent board directors that represent interests of investors and investment companies



Misaki (岬): Cape, Promontory, Headland, Point

It is the point where two massive bodies, the ocean and land, converge.

On clear calm days, one can dream of harmony looking afar toward the ocean or into the mountain lands above. During violent storms, a lighthouse on the promontory helps captains navigate rough seas.

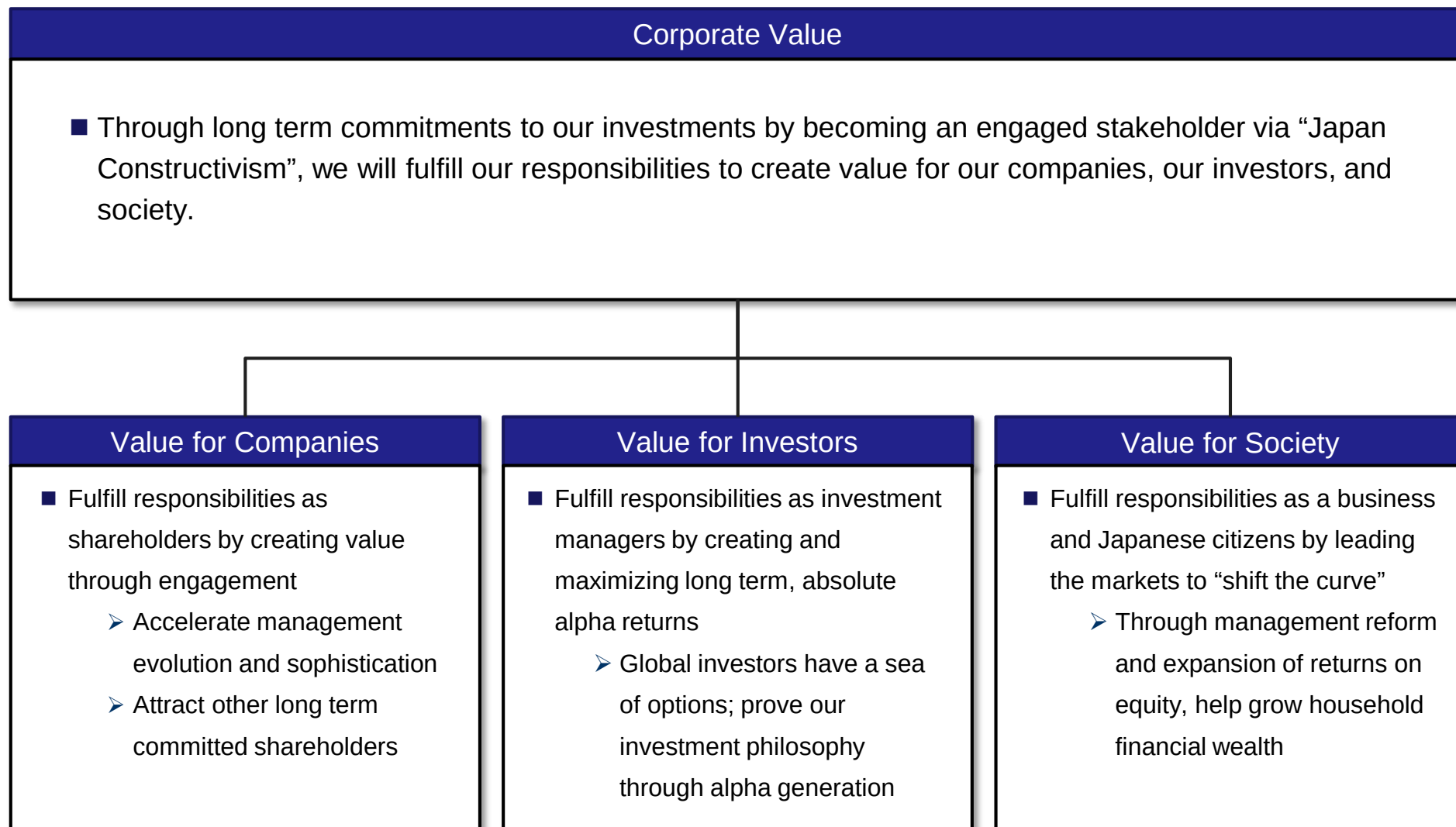
Investors are searching for the perfect investment among the multitude of land masses but are often sidetracked by the raging, volatile waves of the markets.

Similarly, businesses have long term goals and commitments to their stakeholders but become distracted by short term earnings volatility.

Misaki Capital hopes to become the cape between investors and companies within the Japanese equity markets.

Based on our 8+ years experience managing a deep fundamental, friendly, value-enhancing engagement (constructive shareholder activism or “constructivism”) approach to investing, we have further refined our process to **bridge** successful investing using a value-based paradigm and experienced management consulting by collaboratively working with companies and their management to positively influence corporate behavior with the ultimate goal of maximizing the value of our investments.

- Western financial sophistication vs Japanese cultural expectations
 - **Bridge** the gap between investor returns and Japanese societal constraints by providing legitimacy and acceptance via our team background (cultural and business) and management organization thereby offering superior returns while contributing to Japan from a social and economic perspective
- Long-term corporate stakeholder vs a minority interest shareholder
 - **Bridge** the gap between stock investors and companies by focusing on long term corporate value enhancement vs (just) stock returns
- Investment manager (agent) vs investors (principal)
 - **Bridge** the gap between the investment manager and the investors by incentivizing long term, sustainable returns and reinvestment of capital vs short term gains and risks



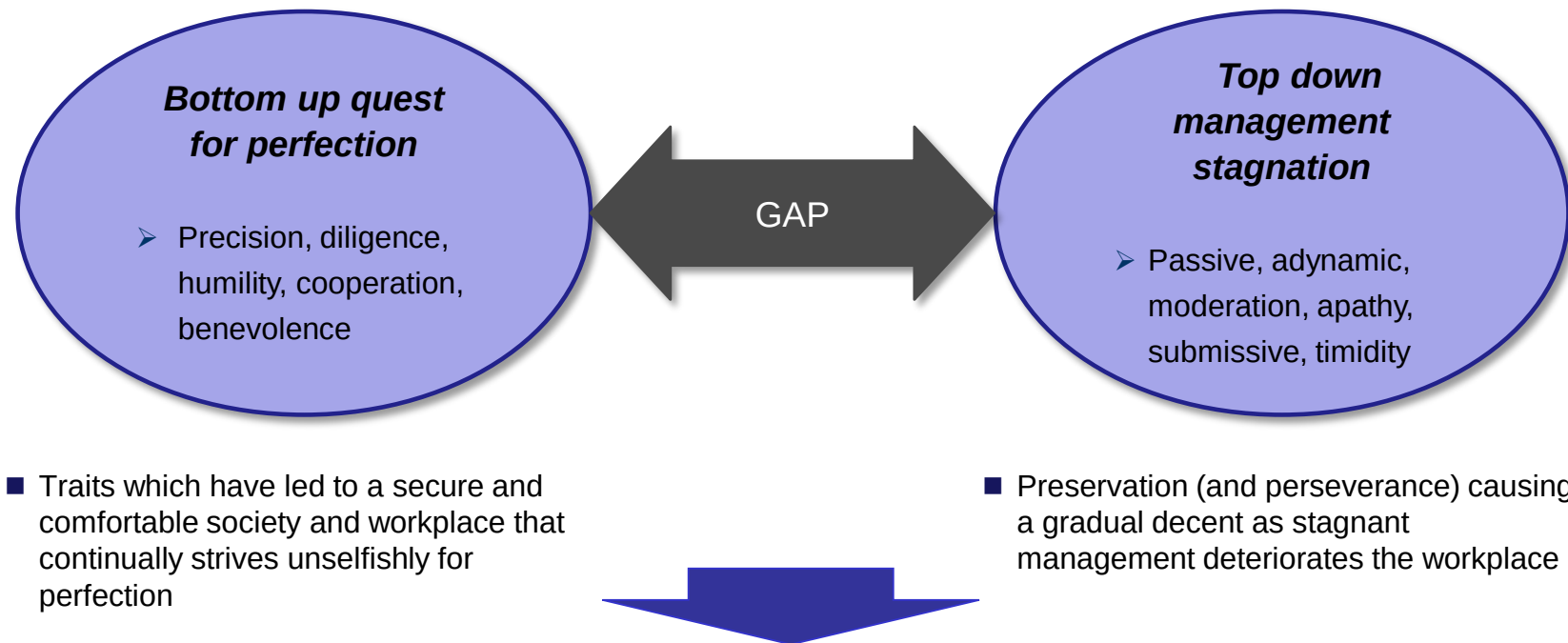


Evolution of the Concept



We focus on the premise that there is a GAP between perceived value and actual and/or potential value

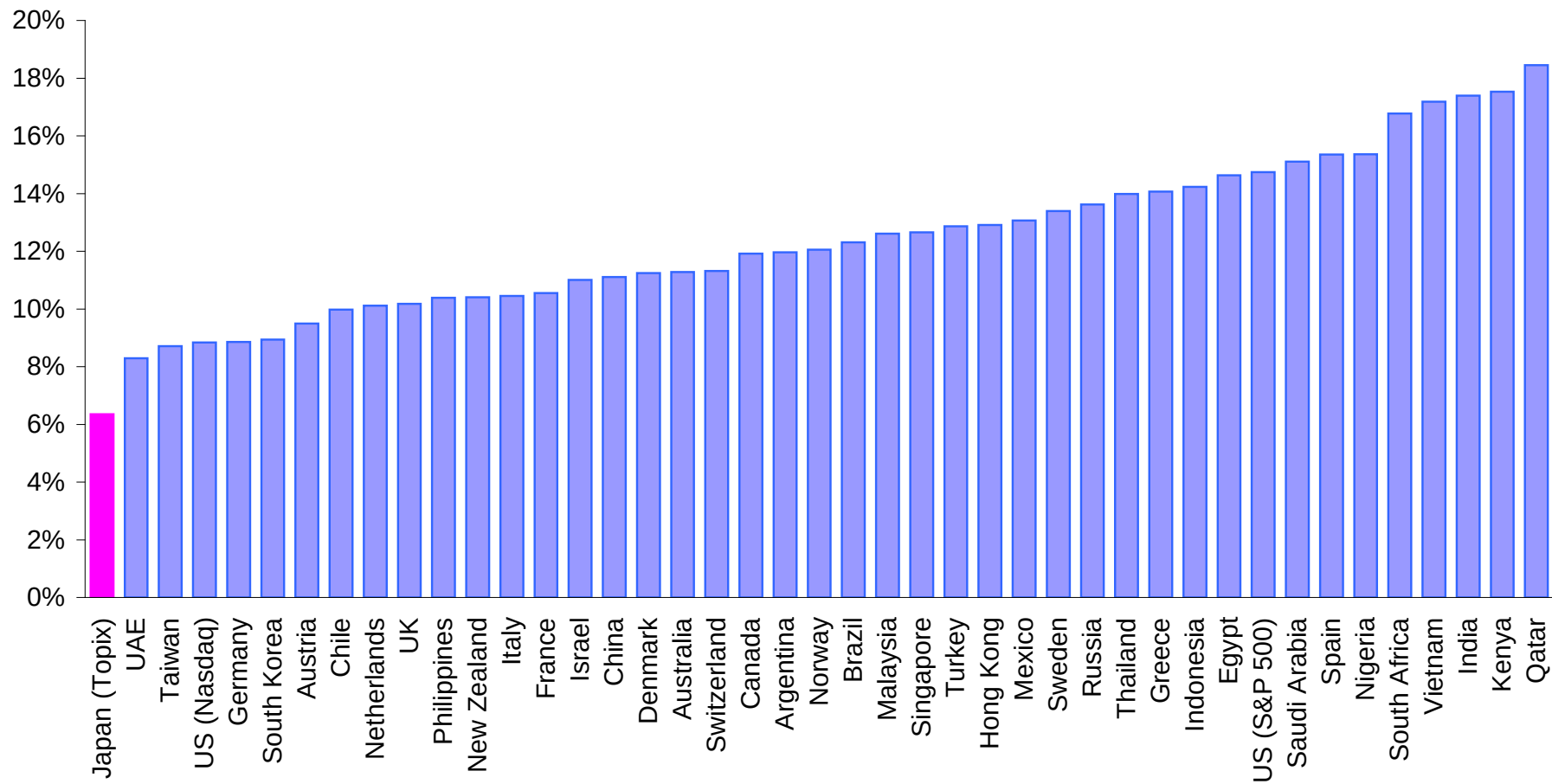
In addition to the traditional measures of “undervalued-ness”, we believe Japan offers an unexposed level of value for global investors



IF management can be strengthened in a method that can be accepted or even welcomed by Japanese business, society, and culture, couldn't this gap be filled and offer a tremendous investment opportunity for global investors?



Example of “Weak Management” (compared to global standards)

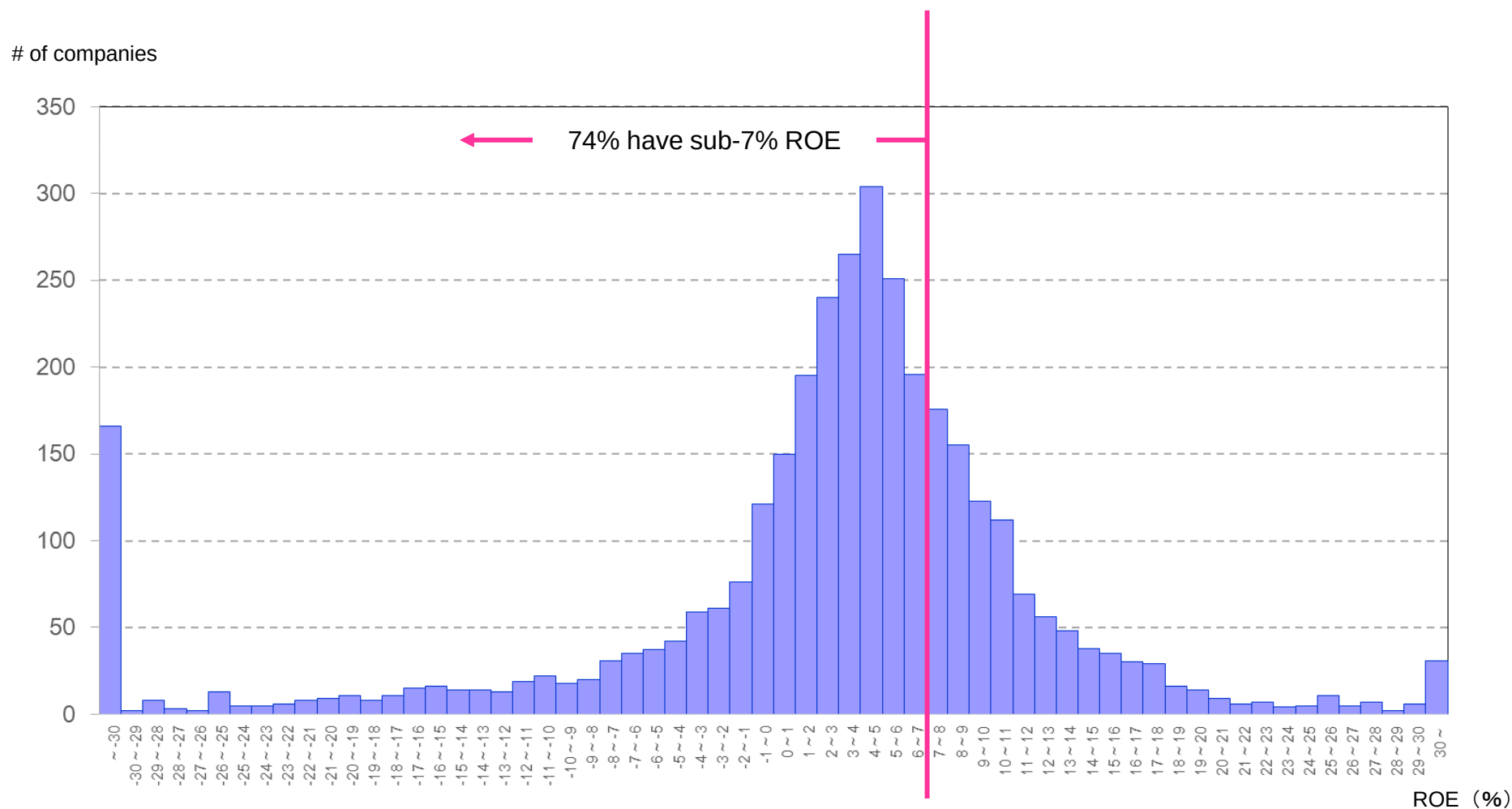


Source: Misaki Capital

A simplified metric using average 10-year ROE shows Japan to be one of the worst capital allocators in the world



Management Quality Distribution within Japan



Source: Misaki Capital (10 year average of all listed companies for last 10 years)

Over 70% of listed Japanese companies are value destroyers



Where is the Problem? (Corporate side)

		ROE	Margin	Turnover	Leverage
Japan Topix 500	Manufacturers	6.8%	3.5%	0.92	1.91
	Non-Manufacturers	6.7%	3.2%	0.86	2.28
	Average	6.8%	3.3%	0.91	2.02
		ROE	Margin	Turnover	Leverage
US S&P 500	Manufacturers	18.1%	8.4%	0.87	2.24
	Non-Manufacturers	14.5%	8.0%	0.61	2.33
	Average	16.0%	8.3%	0.77	2.29
		ROE	Margin	Turnover	Leverage
Europe STOXX 600	Manufacturers	15.3%	6.8%	0.86	2.44
	Non-Manufacturers	15.6%	7.8%	0.66	2.74
	Average	15.4%	7.2%	0.79	2.58

*Computation based on simple average of constituents excluding financials from average of 2004-2013 fiscal years

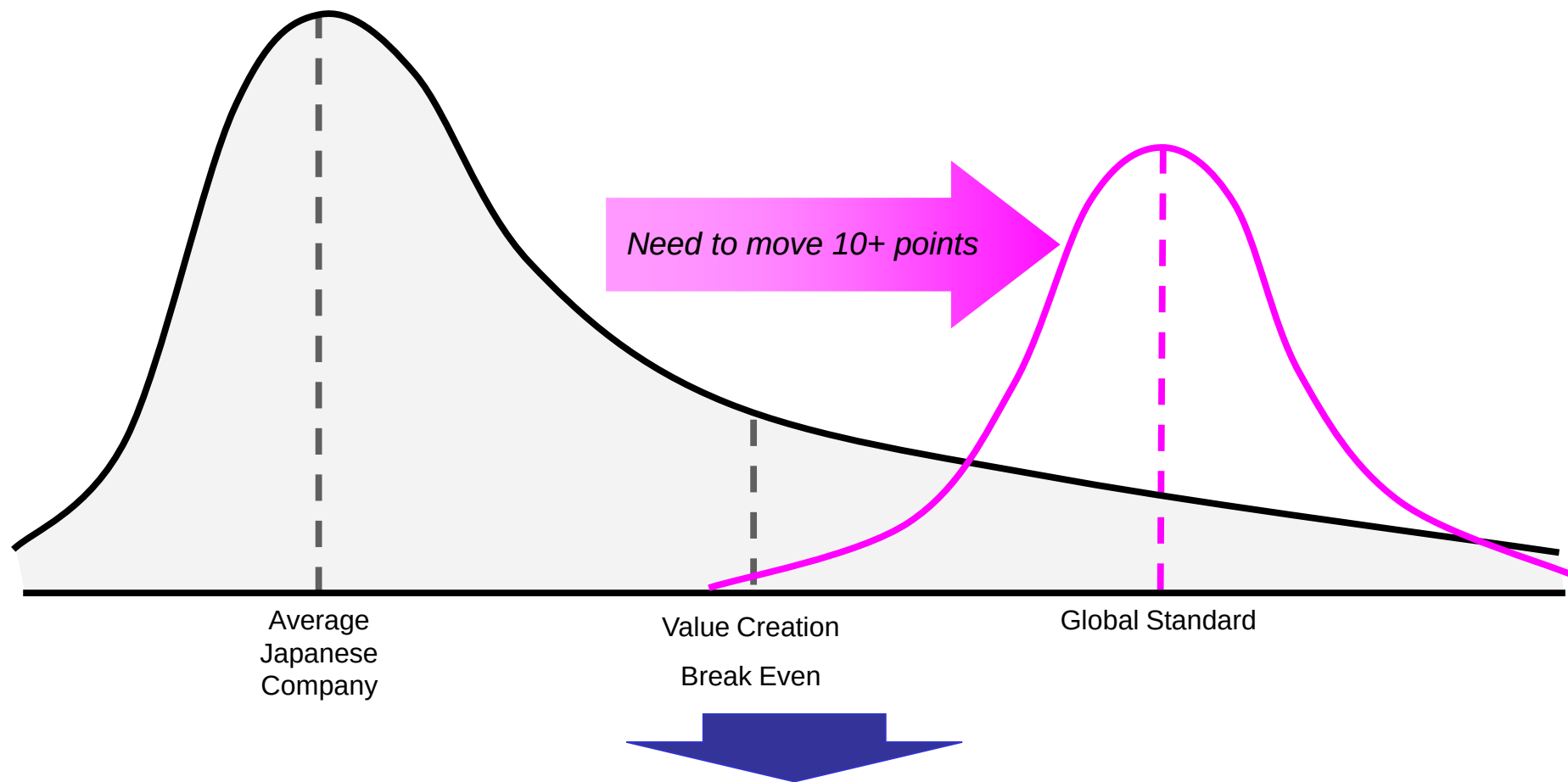
Source: Misaki Capital

The lack of management ability to capitalize on the value created from the ground up has lead to low ROEs.

- Traditional activism has often pointed to a lack of leverage and/or asset turnover but, on average, the widest gap comes from company-wide margins.



“Shift the Curve”



- Our goal is to help shift the curve toward the global standard

- From a bottom-up level, incentivize companies that have the potential to shift to the right via corporate value enhancement from an operational and capital allocation perspective
- From a top-down level, incentivize the market to reward companies that have shifted to the right on an economic and societal level



Where is the Problem? (Investor side)

Two key characteristics of Japanese investment managers

Forecasting Time Horizon			
	Japan	Germany	USA
Days	6.7	0.8	2.0
Weeks	16.8	13.2	0.7
2-6 months	49.2	59.3	20.8
6-12 months	19.1	21.3	38.9
Years	8.2	5.4	37.6
Total	100	100	100

(%)

■ Short-termism of Japanese investors

Do you follow the trend? (1=complete approval, 6 = complete contradiction)			
	Japan	Germany	USA
1	2.4	2.3	1.4
2	27.2	13.5	4.1
3	32.8	34.4	15.5
4	17.3	24.3	27.0
5	15.3	17.0	35.1
6	5.2	8.5	16.9

(%)

■ Japanese investors tend to be trend followers

Source: M.Suto, L.Menkohoff, and D.Beckman
(based on surveys of fund managers across countries)

- We believe this investment behavior stems from the lack of responsibility on managers
- From a corporate perspective, management can not view shareholders as partners
 - From an end investor perspective, relative valuation outweighs absolute value and thus, managers have difficulty offering differentiated returns



How can we solve the Problem?

- The equities rally since Nov 2012 has largely been led by political and macro factors
- However, before the rally got underway, there were significant reforms across the investment chain being developed under the surface
 - GPIF asset allocation, Japanese Stewardship Code, Japanese Kay Review, Corporate Law Amendments (e.g. acceleration of independent board directors), JPX-Nikkei 400 Index, etc
- And some management teams have begun adapting independently of the changing Japanese environment
 - Hitachi, LIXIL, Calbee, Takeda Pharmaceutical to name a few



- Through a new strategic partnership, our team hopes to enhance our support of management to a new level and expand our investment opportunities
 - Partnership with one of Japan's largest independent management consulting firms with over 100 dedicated professionals
 - Support from influential persons and organizations from academia, business, and government
- Build a **long-term partnership** with our investment companies and our investors

Implementation of the Concept





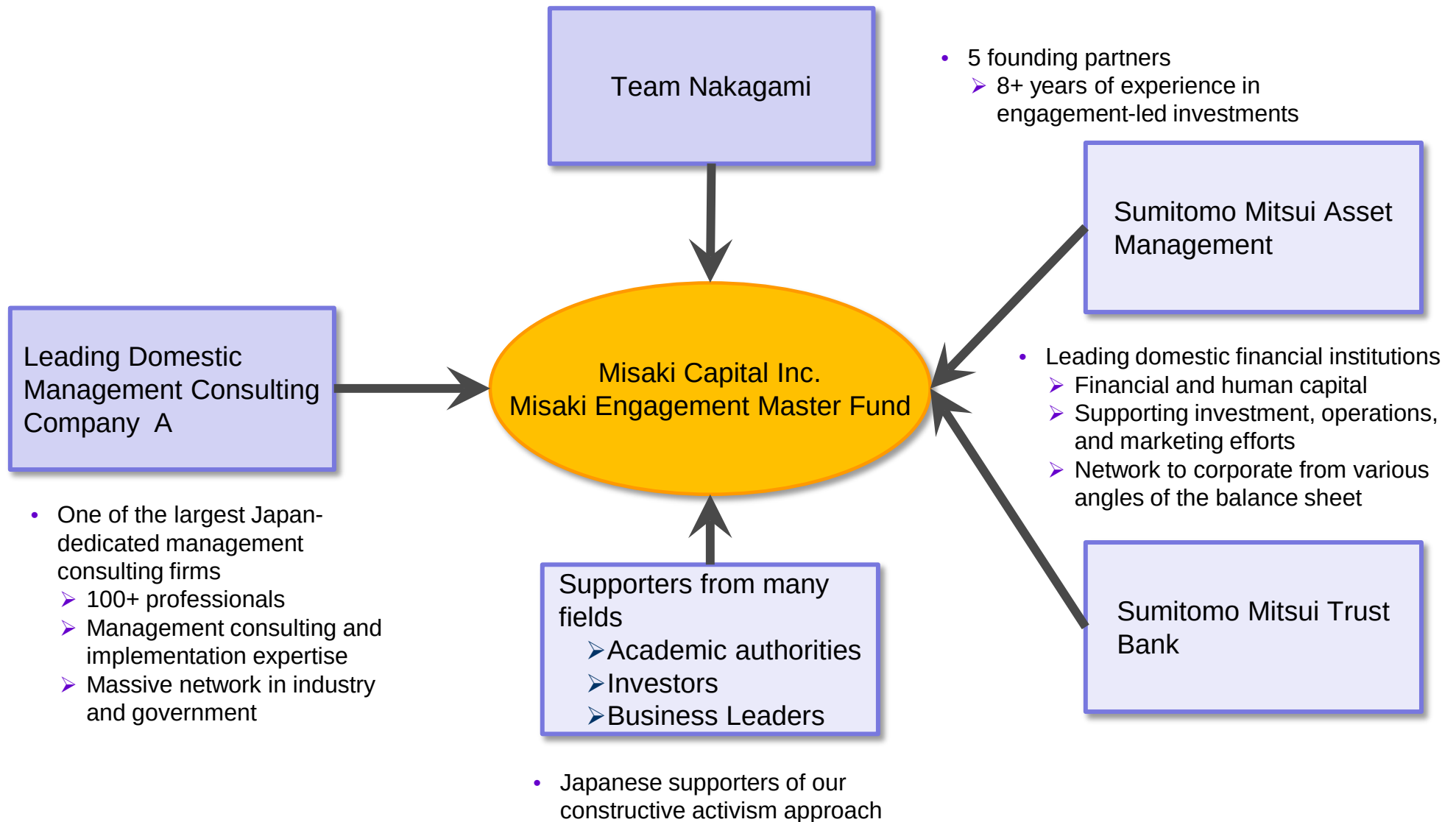
Misaki Capital Investment Team (“Team Nakagami”)

- Core members (the Company’s “Operating System”) have all worked together under the same strategy
- Utilize resources from other business partners



Knowledge and
resources of
Management
Advisory Committee

Knowledge, resources,
and labor of
Management
Consulting firm

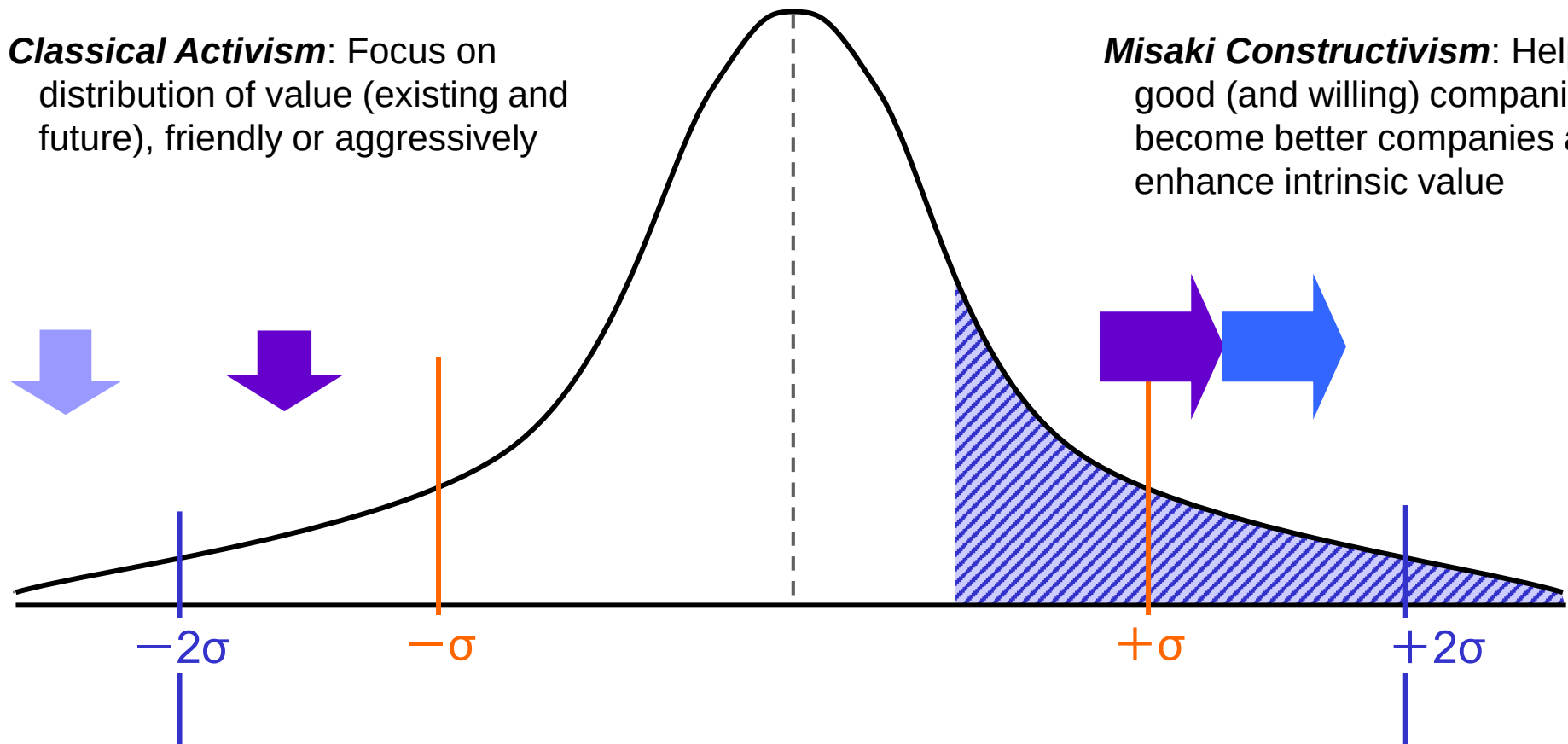


An engagement strategy that is deeply rooted into Japanese business and society rather than an “outsider”

- Over 3600 listed names in Japan (1000 with sufficient market cap and liquidity)
- Assume a normal distribution of “good” vs “bad” companies

Classical Activism: Focus on distribution of value (existing and future), friendly or aggressively

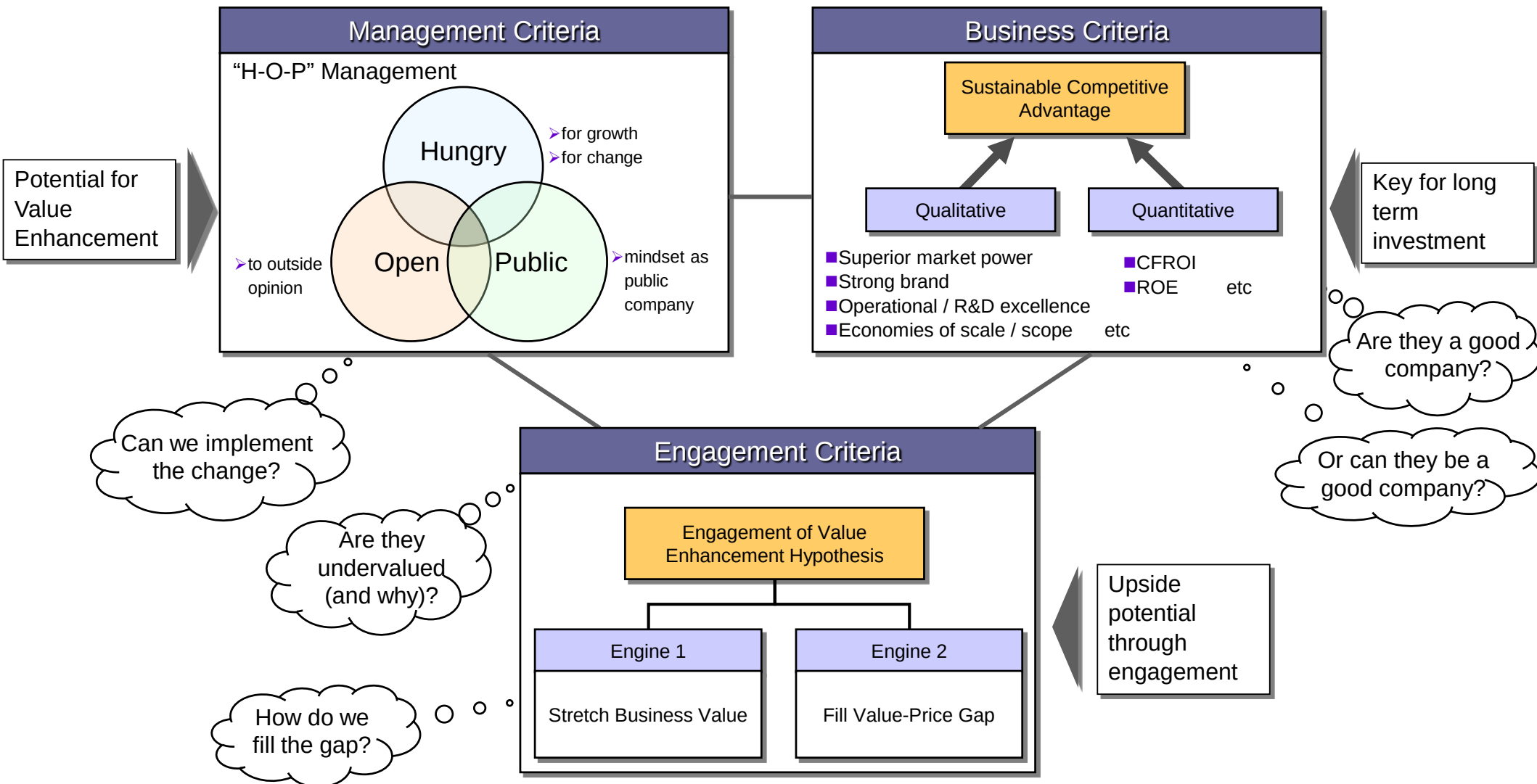
Misaki Constructivism: Help good (and willing) companies become better companies and enhance intrinsic value

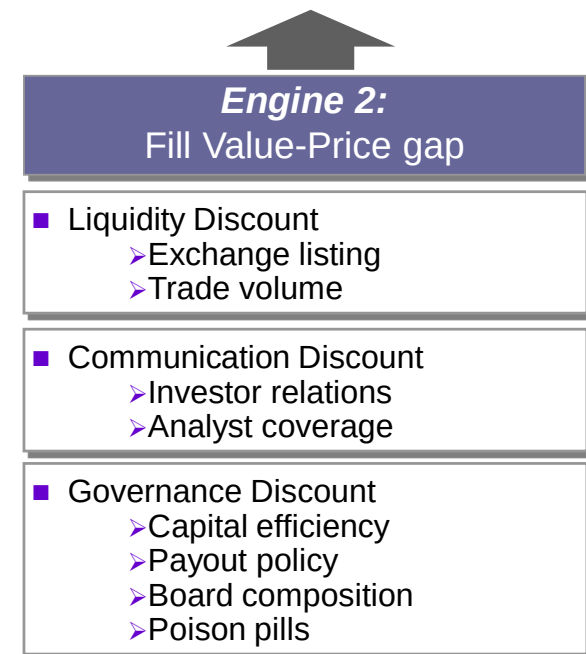
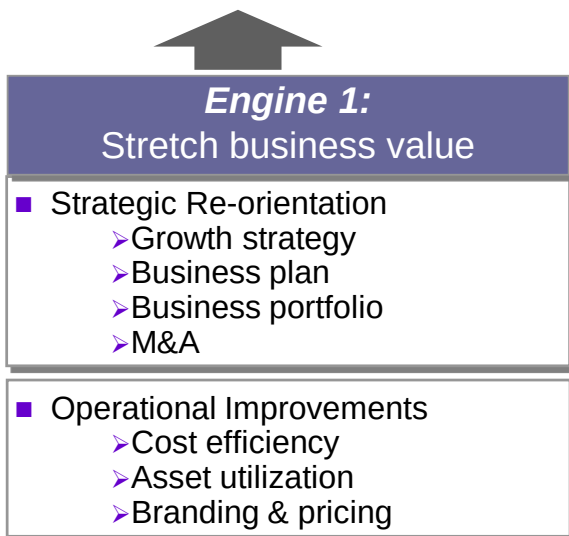
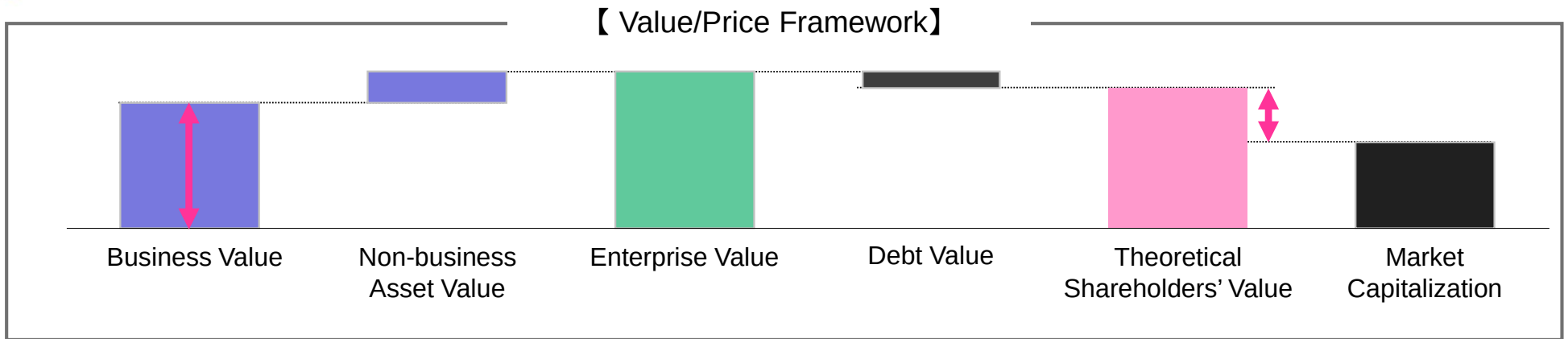




Investment Selection Process

The core selection process continues to be the fulfillment of our three main criteria







Past Engagement Examples

SME global expansion
From planning to implementation

- Global expansion of baby care company
- China entry of marketing research company
- Global expansion of restaurant chain

Productivity improvements via
“KAIZEN” approach

- Implementation of factory productivity improvements and business process reorganization at a pharmacy chain
- Sales productivity expansion of sales force in pharmaceutical maker

Installation of modern financial sophistication
within management

- Formulation and implementation of the “3 Changes” at machine tool manufacturer (business policy, capital policy, and governance)
- Governance and financial literacy improvements at elderly nursing facility
- “Stock audit”, IR disclosure assistance and other communication improvements

Marketing research

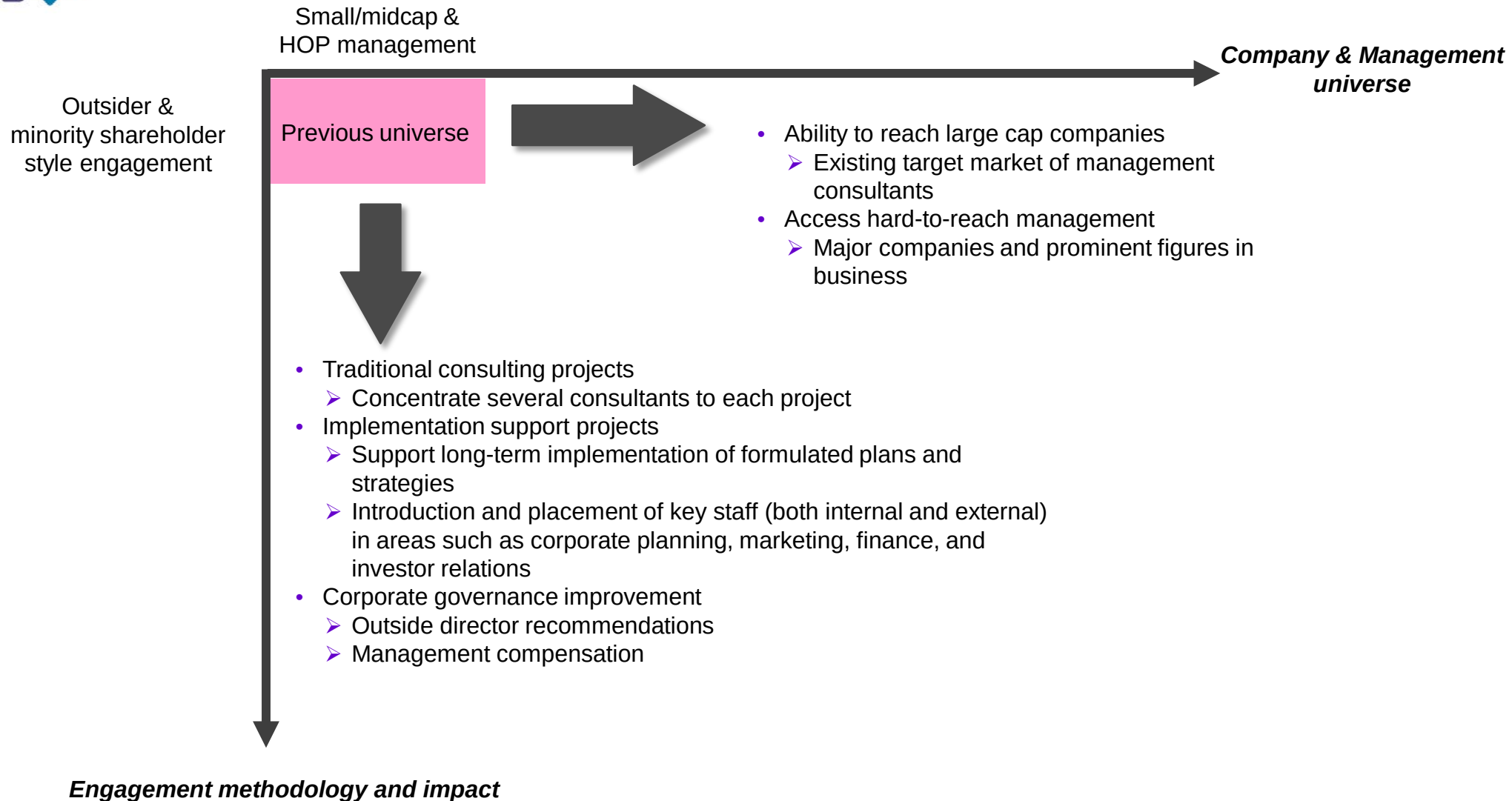
- Strategy formulation for cross selling and sales methodology at system reseller
- Analysis of marketing and sales pattern and categorization of customers at specialty retailer

Other engagements

- 100+ year corporations research
- Management compensation research
- M&A - Do's & Don'ts

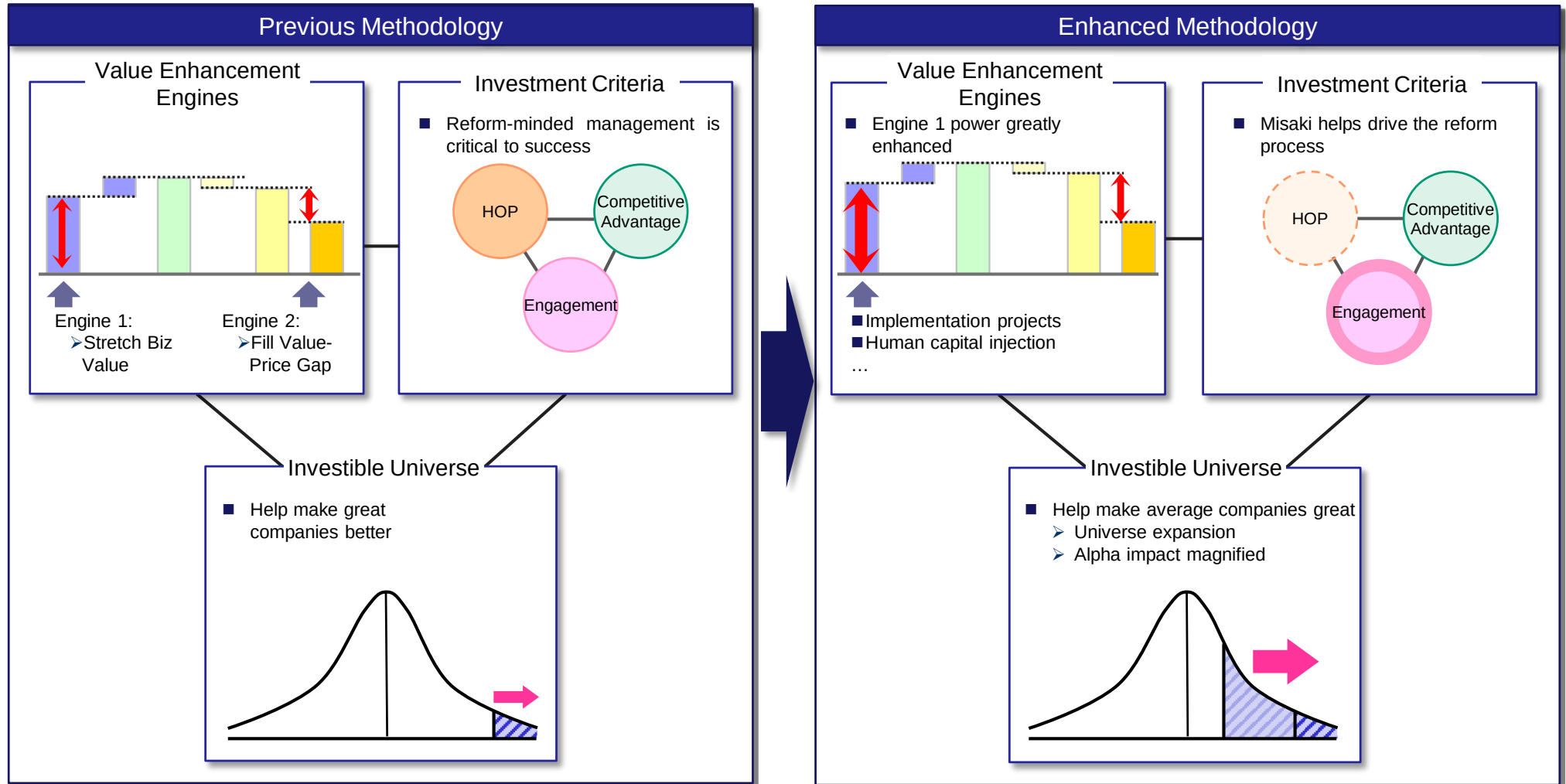


Universe Expansion from Strengthened Partnerships





Value Up Expansion from Strengthened Partnerships



■ While core process is the same, each component is enhanced

Expected Portfolio Characteristics

■ Expected number of holdings: 10-15 names

Phase	Names	Status
Core	3-5	Companies with whom we are actively engaged with management
Near Core	3-5	Companies with whom we have strong relationships and have developed a value-enhancing thesis with management but have yet to implement due to issues such as timing, risk-return profile (e.g. waiting for a deeper margin of safety, insufficient data to determine probability and/or magnitude of engagement success), corporate commitment level, etc.
Door Open	3-5	Companies with whom we have yet to enhance our relationship but have completed our research of competitive advantage, corporate value, and reasons for discount to corporate value (i.e. “the gap”), and have developed a value-enhancing hypothesis
Watch list	50-60	Companies followed but waiting for margin of safety, management change, corporate access, on-going research, etc.

■ Expected holding period (entry to exit; adjust sizing depending on stage of investment and size of gap):

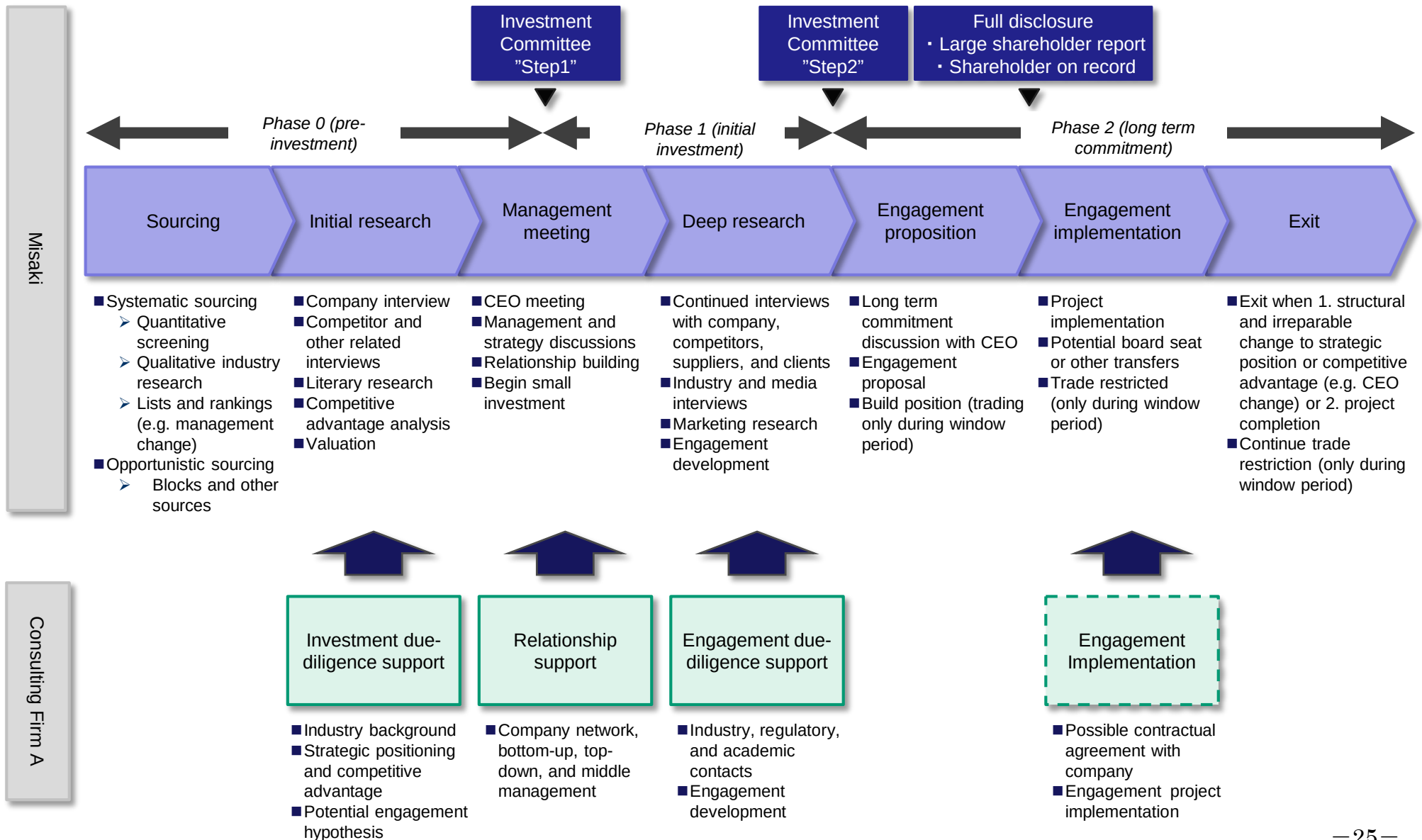
Phase	Expected holding period
Core	3-5 years
Door Open	6-12 months and assess whether we can successfully engage with the company

Our risk management will primarily be dictated by securing a sufficient margin of safety prior to investment. This safety margin is continually assessed via a dual discount provided from 1. the existing value-price gap between our valuation methodology of the investment and the perceived market landscape and 2. the expected value enhancement potential which would vary depending on the progress and conviction level of our engagement.

We will also monitor overall portfolio risks such as industry and factor concentration, changes in liquidity, and total net/gross exposure from a top-down perspective.

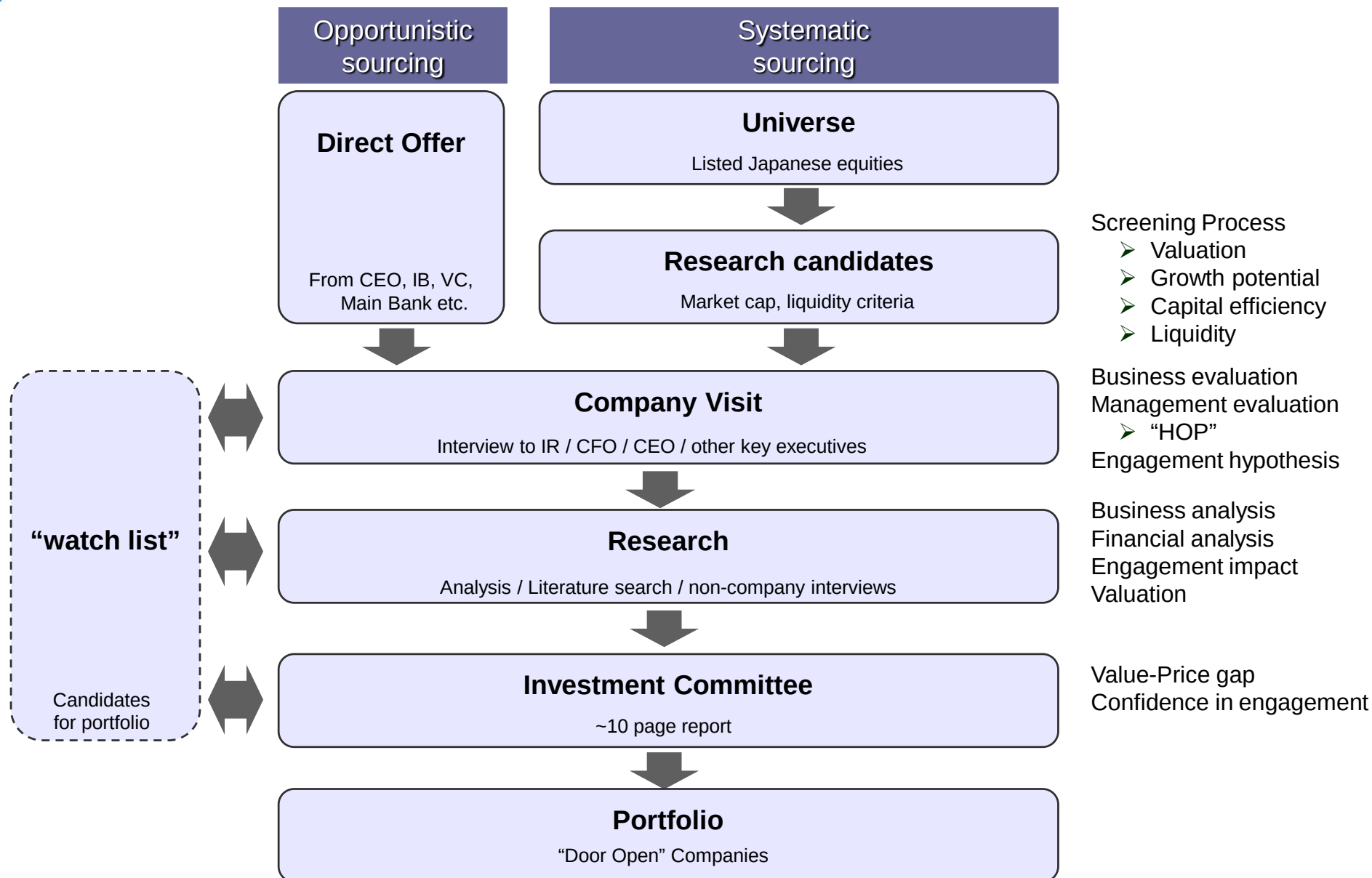
Exposure	Target 90-100%
Leverage	No leverage will be employed
Stop Loss	We will not implement mechanical stop losses though we have individual soft alerts where we would review our thesis and conviction level. However, we will have “engagement stop losses” when progress of implementation is slow or unsuccessful. Also, a structural change in the competitive advantage of our investments could trigger a stop loss (e.g. CEO change, new technologies or patents, etc).
Diversification	10-15 long names in independent sectors. We will also monitor other factor concentrations (such as currency sensitivity, regulatory sensitivity, market cap bias, etc).
Single Name Concentration	Maximum 25% in a single name; “core” names would generally target 10-20% per investment

Investment Process





Phase 0: Pre-Investment – Selecting portfolio companies





Phase 1: Initial Investment – Confidence building

Approach

Company visit / discussions

Management / key executives
Factory / laboratory / stores
Overseas subsidiaries
Employees

Non-company interviews

Customers
Competitors
Vendors / channel / suppliers
Industry experts / Industry media
Banks / brokers
Consultants
CEO acquaintances and other contacts

Analysis

Business
Financial
Valuation
Engagement impact

Literature search

Company news
CEO and other executive comments / reputations
Statistics / marketing firm report
Industry media
Broker reports

Output

“Deep” Research: 80-150 page report

- For “Core” Investment
- AUM 10-25% per position

-Table of contents of “Deep” research (example)-

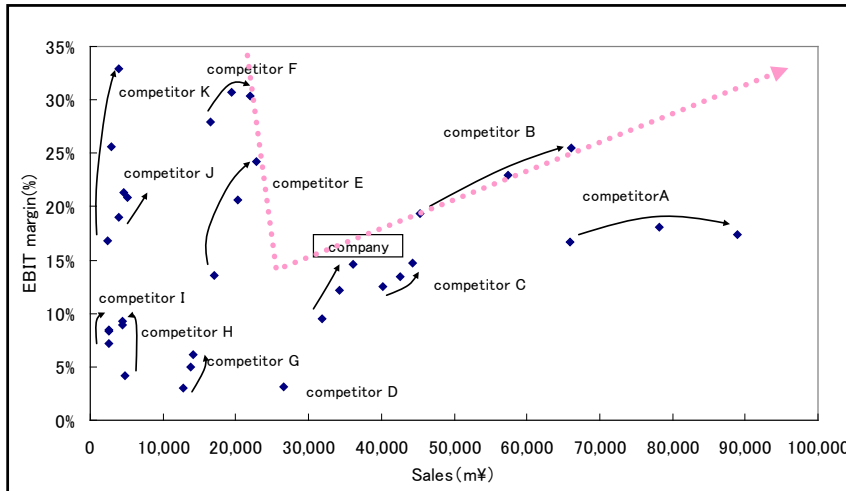
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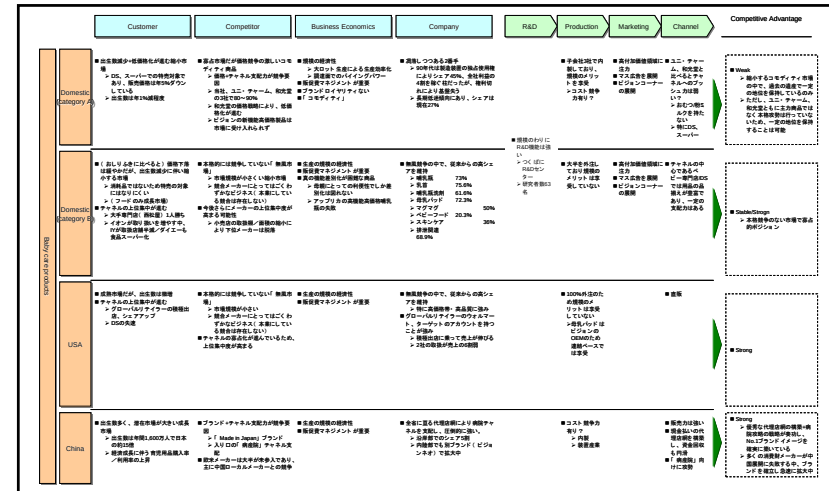
Example of “Deep” research

■ Management consultant analysis framework utilized to understand competitiveness

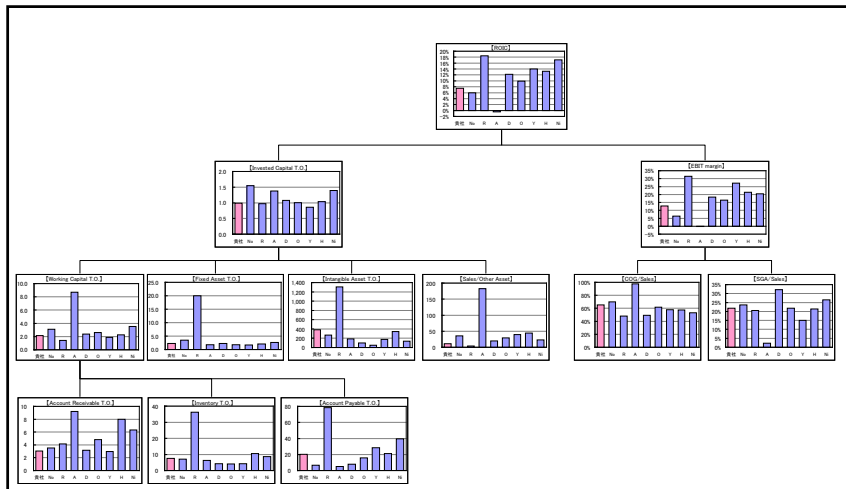
Business Economic Analysis



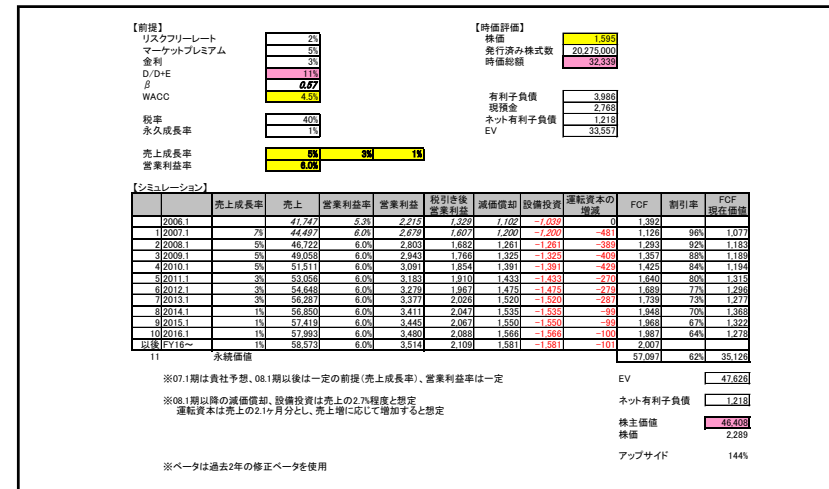
Competitive Advantage Analysis



ROIC Analysis



DCF Analysis

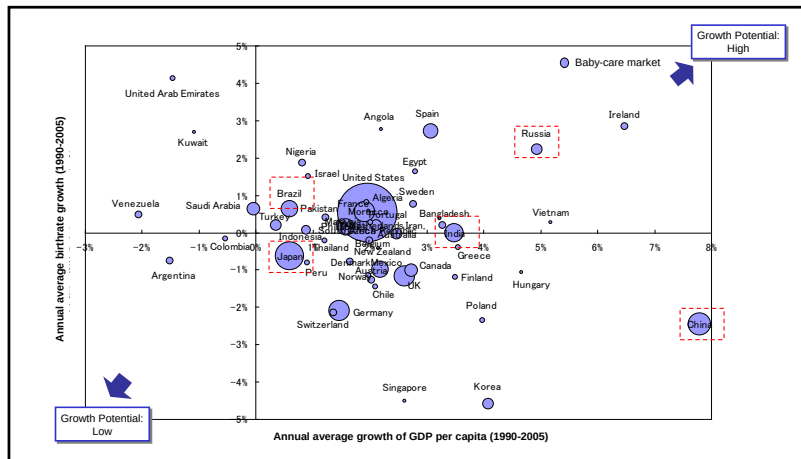




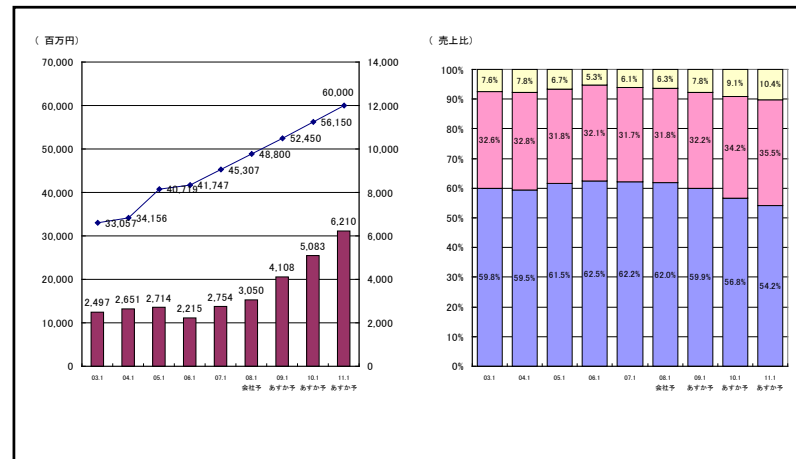
Phase 2: Long Term Commitment – (1) Stretch business value

- Customizing for each company is key and there is no catch-all framework. Below are some examples of tools we have used.

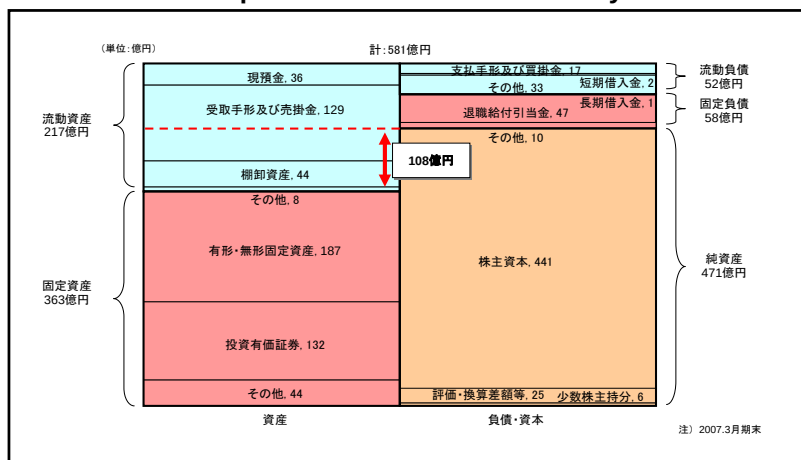
Market potential estimation



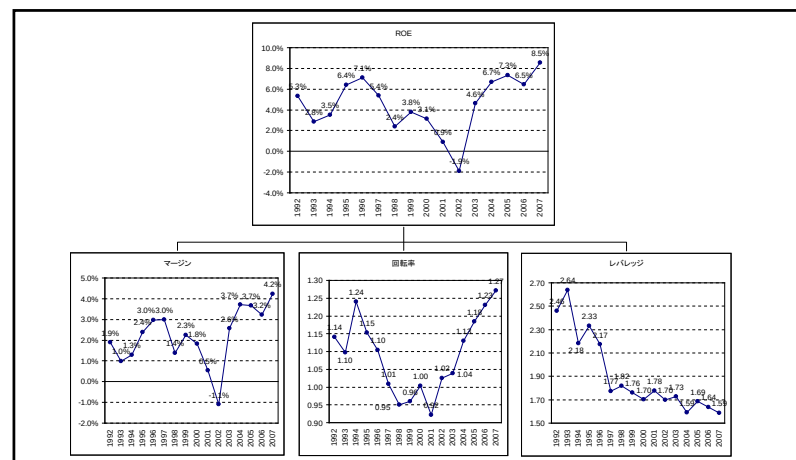
Stretch business plan



Improve balance sheet efficiency



Improve capital efficiency

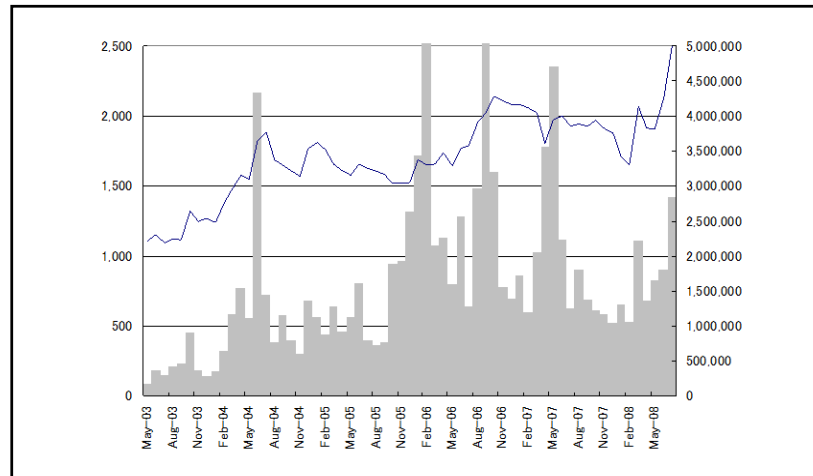




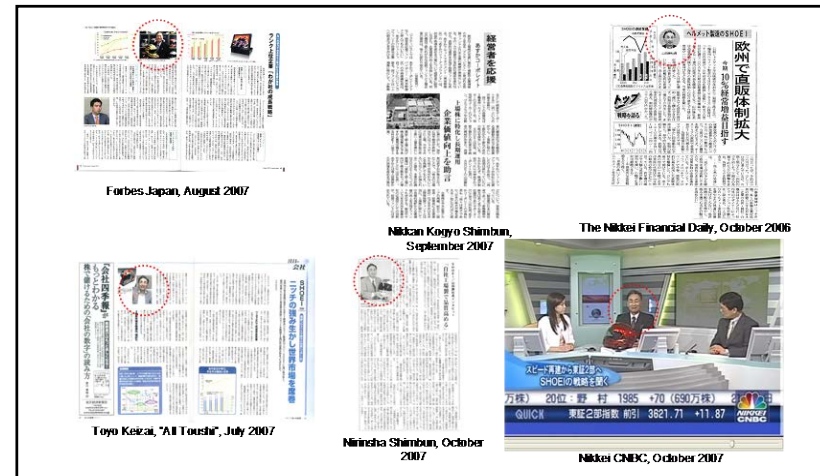
Phase 2: Long Term Commitment – (2) Fill Value-Price gap

- Liquidity, Communication, and Governance are usually the factors that contribute to discounted prices. We act as the “voice of the market” and help management fill that gap.

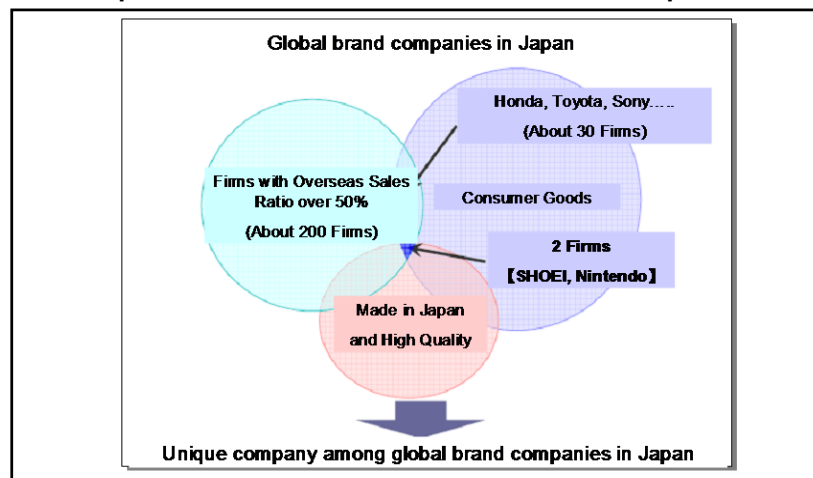
Improvement in liquidity



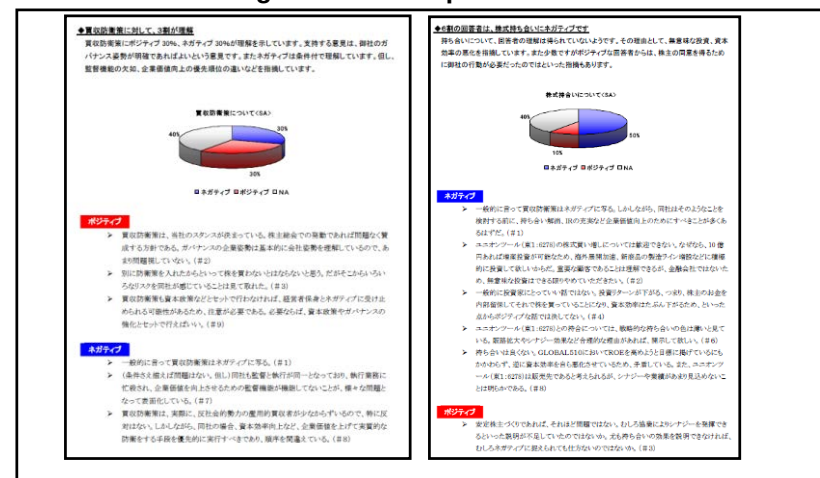
Improve corporate awareness



Improve IR material to raise awareness of uniqueness



Improve corporate governance through investors' opinion research





Organization





The Founders (1)

Yasunori Nakagami: Yasunori is a partner and Chief Executive Officer of Misaki Capital Inc. and brings nearly 20 years of management consultancy experience. Prior to this, he co-founded Asuka Corporate Advisory in April 2005 and successfully built the team, the process, and the track record of a previous engagement fund, the basis of our present investment philosophy. Previously, he worked at Andersen Consulting (now Accenture) and Corporate Directions, Inc. where he rose to the level of partner and built a massive network of corporate, public, and academic professionals.

Yasunori received his B.A. in Economics from Keio University and MBA from University of California, Berkeley.

Shoji Suzuki: Shoji is a partner and Chief Operating Officer of Misaki Capital Inc. and brings nearly 15 years of experience in compliance and operations and 20+ years of experience in investment management including trading and fund management. His previous employers include Asuka Corporate Advisory as Chief Compliance Officer, Japan Investment Advisers Association, DIAM Asset Management, Pension Fund Association, and the Industrial Bank of Japan (now Mizuho Financial Group).

Shoji received his B.A. in Law from Kyoto University.



The Founders (2)

Masaki Gotoh: Masaki is a partner and Portfolio Manager of Misaki Capital Inc. Prior to this, he was Portfolio Manager of the Asuka Value Up Fund, responsible for managing the Fund and the investment team. Prior to this, he worked at SPC Japan (Standard Pacific Capital LLC's Japan Advisory) jointly responsible for long-short investments in Japan, Korea, and Taiwan, as well as Morgan Stanley Japan in International Proprietary Trading and Goldman Sachs Japan heading Asia-Pacific Derivatives and Trading Research and brings 15 years of experience in Finance.

Masaki received his B.Eng in Computer Science from Cornell University and MBA from Northwestern University.

Takayuki Nitta: Takayuki is a partner and Chief Engagement Officer of Misaki Capital Inc. Prior to this, he was a director of Asuka Corporate Advisory and Chief Value Up Officer for the Asuka Value Up Fund, responsible for the value-up engagements of the investments and brings 8+ years of experience in shareholder activism. Previously, he worked at Corporate Directions, Inc. under Yasunori where he gained 6+ years of experience in management consulting.

Takayuki received his B.Sc. and M.Sc. from Hokkaido University.

Asuka Uemura: Asuka is Senior Research Analyst of Misaki Capital Inc. and responsible for all research during the entire stage of the investment process from pre-investment to engagement. Prior to this, she worked at Asuka Corporate Advisory as chief research analyst, Corporate Directions, Inc. under Yasunori with 5+ years of experience in management consulting, and Chiyoda Life Insurance (now Gibraltar Life Insurance).

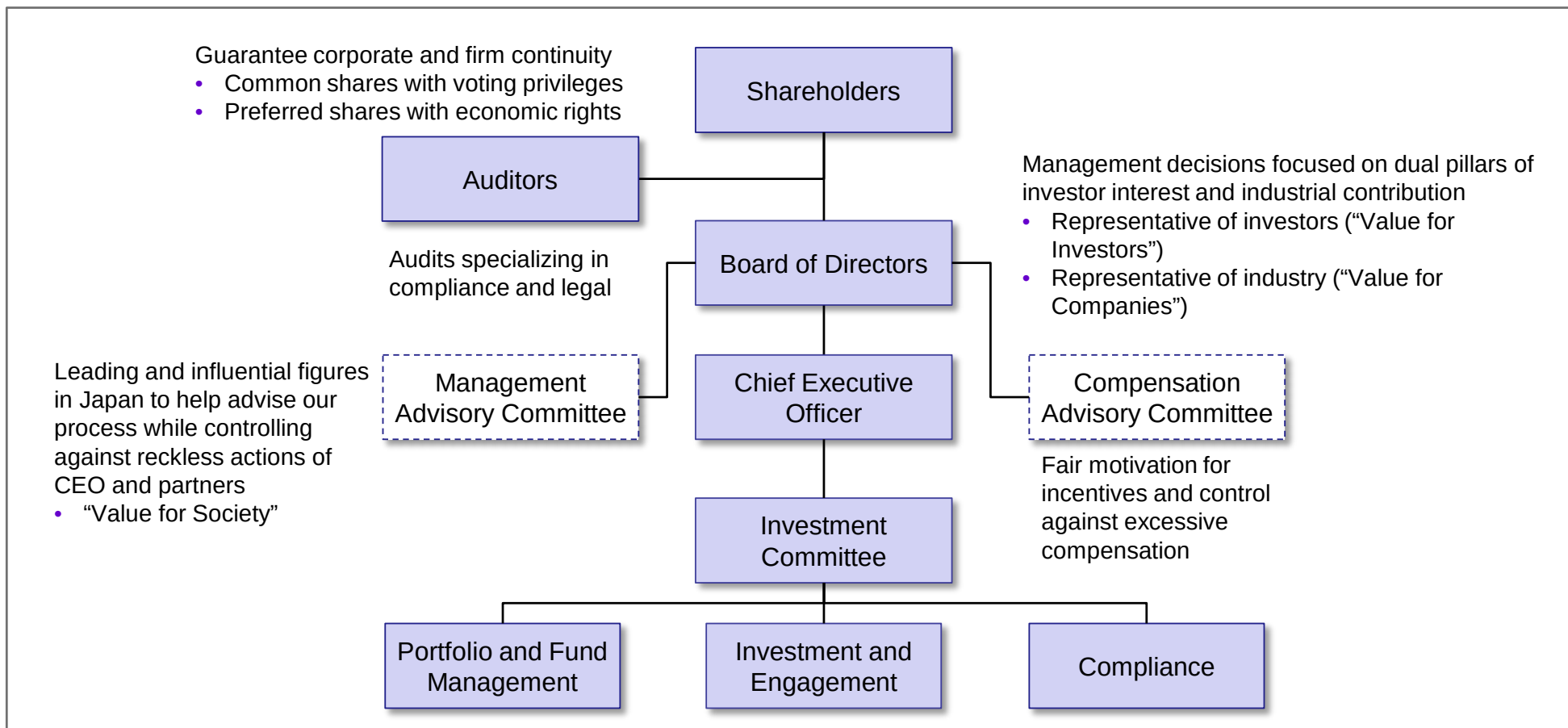
Asuka received her B.A. in Law from Chuo University.

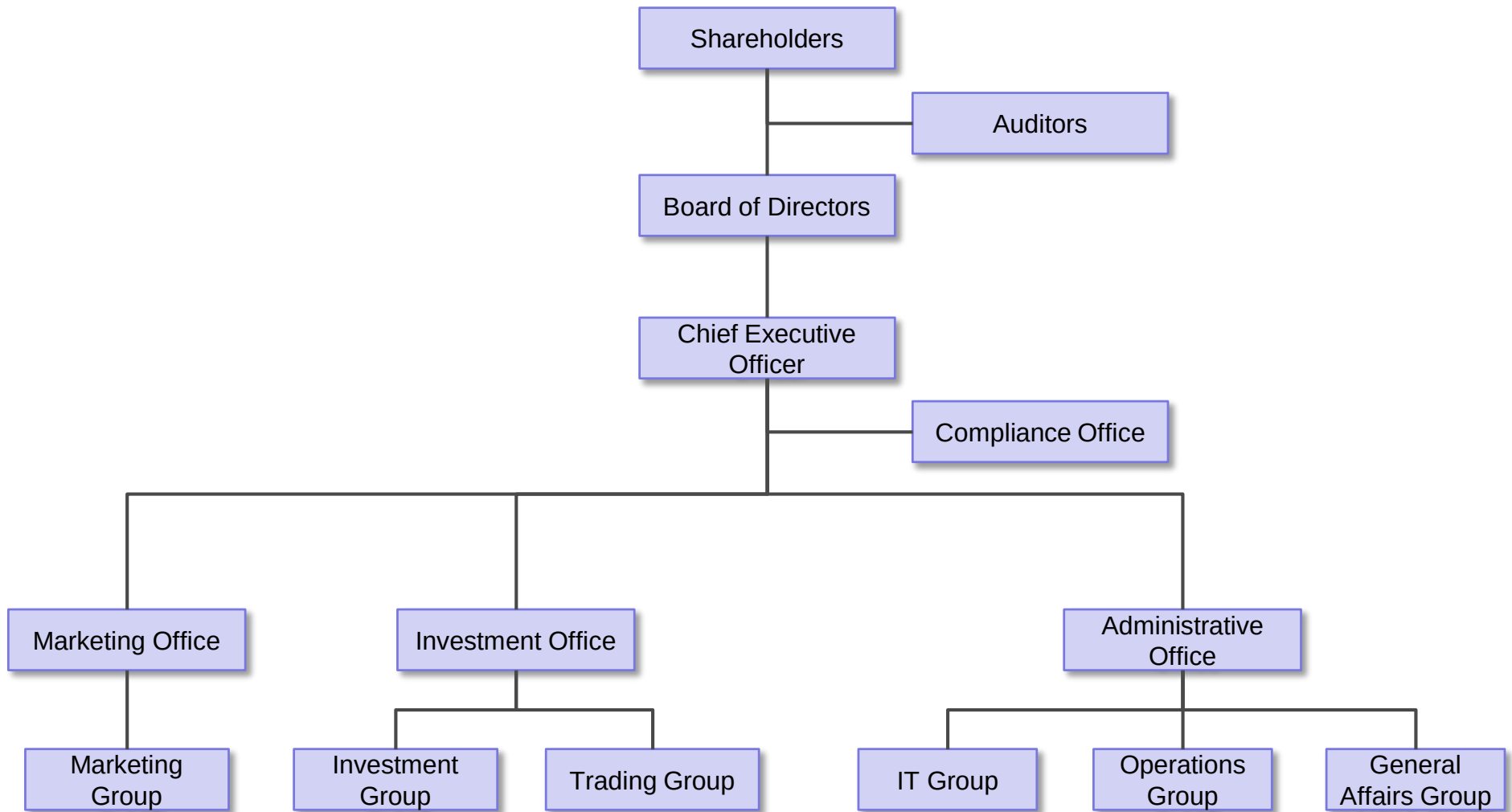


The Organization and Governance

Learning from recent experience, we have carefully constructed our corporate governance to follow best practices and align interests of all stakeholders including management, employees, investors, and industry

- Guarantee continuity of the firm and its operations
- Always prioritize investor interest within the context of the investments' profitability and social acceptance
- Maintain highest standards of professionalism and responsibility toward compliance
- Incentive structure that enforces long-term economics toward reasonable, non-excessive personal wealth







The Organization Details

Investment Manager: Misaki Capital Inc.
Registration Number: Director-General of Kanto Local Finance Bureau No. 2764

Shareholders:

- Yasunori Nakagami 70%
- Shoji Suzuki 10%
- Masaki Gotoh 10%
- Takayuki Nitta 10%

Directors:

- Chief Executive Officer Yasunori Nakagami
- Chief Operating Officer Shoji Suzuki
- Outside Director Hironori Fujioka (Former Chief Investment Officer, Osakafu Byouin Employees Pension Fund)
- Outside Director Hiroaki Adachi (Former Senior Investment Officer, Operation Division Pension Fund Management, Kyushu Electric Power Co., Inc.)
- Outside Director Masaru Yamada (Chairman, Shoei Co., Ltd.)
- Outside Auditor Akio Sato (Lawyer, Former JASDAQ Compliance Committee Chairman)



The Organization Details (Cont'd)

Influential and leading figures in fields such as corporate value, accounting, legal/governance, competitive strategy, and macroeconomics.

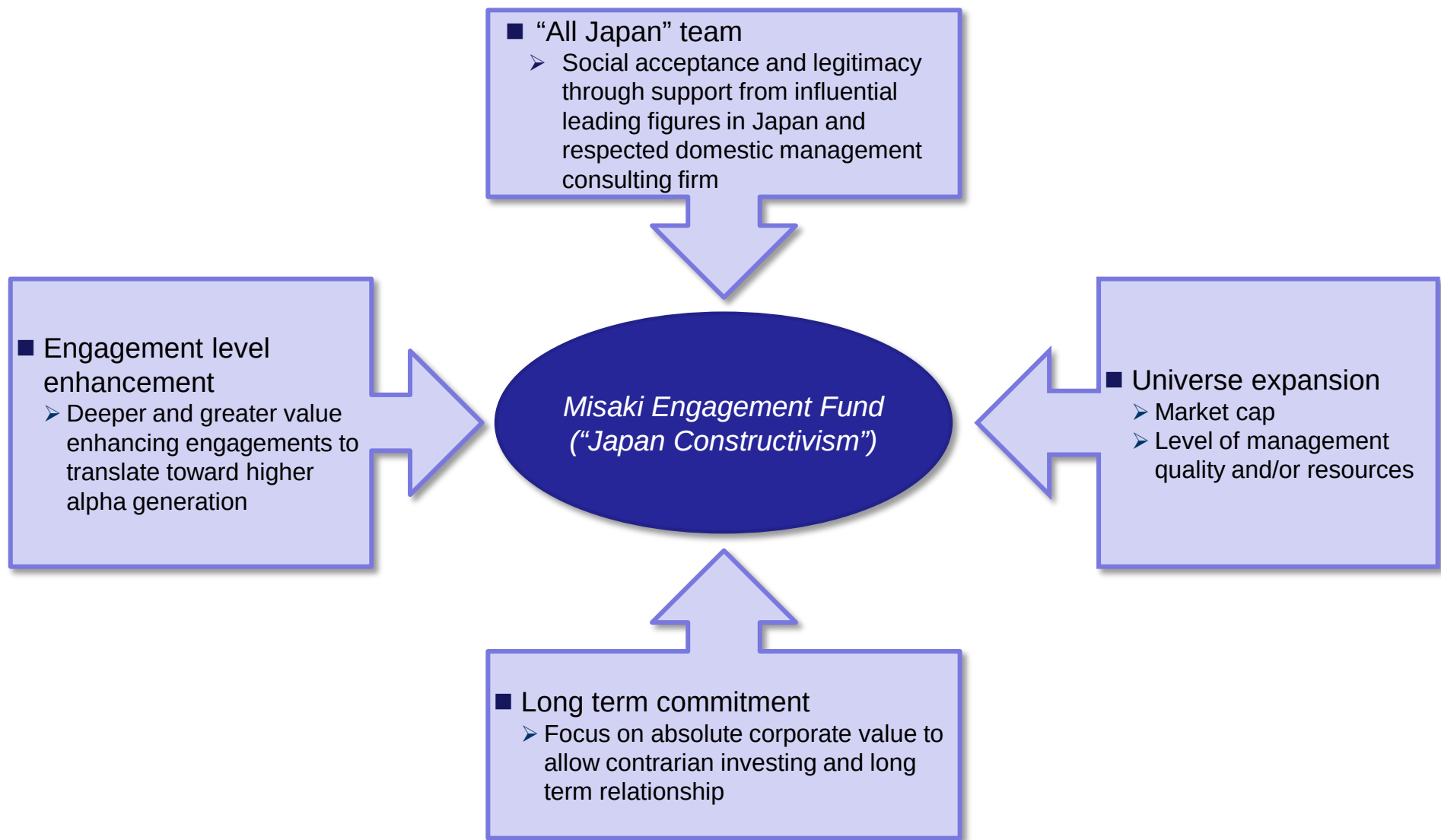
Management Advisory Committee members (alphabetical order):

- **Sadayuki Horie** (Senior Researcher of Financial Technology and Market Research Department at Nomura Research Institute, Financial Services Agency “The Council of Experts Concerning the Japanese Version of the Stewardship Code” member)
- **Kunio Ito** (Professor at Graduate School of Commerce and Management, Hitotsubashi University, Chairman of Tokyo Stock Exchange Listed Company Award Selection Committee, Director of Japan Academic Society for Ventures and Entrepreneurs, President of Japan Academic Society of Investor Relations, Director at Tokio Marine Holdings, Mitsubishi Corp., Akebono Brake Industry, Sumitomo Chemical, and Kobayashi Pharmaceutical)
- **Keiichiro Kobayashi** (Professor of Economics at Keio University, Faculty Fellow at Research Institute of Economy, Trade & Industry, Research Director at Canon Institute for Global Studies)
- **Ken Kusunoki** (Faculty Director of CRM and Professor of International Corporate Strategy at Graduate School of International Corporate Strategy, Hitotsubashi University)
- **Seiichi Ochiai** (Of Counsel at Nishimura & Asahi, President of Nishimura Institute of Advanced Legal Studies, Professor of Law at Chuo Law School, Professor Emeritus at Tokyo University, Director at Meiji Yasuda Life Insurance, Auditor at NTT and Ube Industries)
- **Akio Okuyama** (Accountant of Okuyama Accounting Firm, Auditor at ADEKA, Nippon Flour Mills, and Industrial Growth Platform, Inc., former Chairman of The Japanese Institute of Certified Public Accountants)



Fund Terms and Service Providers

■ Fund Name:	Misaki Engagement Master Fund (Cayman incorporated Master-Feeder structure)
■ Minimum Subscription:	USD 1,000,000 or JPY 100,000,000
■ Class A Terms (USD and JPY):	
➤ Fees:	1.5% management fee, 15% performance fee above HWM
➤ Redemption:	Quarterly liquidity with maximum 50% investor-level gate per annum from year 2 with 90 day notice
■ Class B Terms (USD and JPY):	
➤ Fees:	1.8% management fee, 20% performance fee above HWM
➤ Redemption:	Quarterly liquidity from year 2 with 90 day notice
■ Lock-up:	1 year soft lock-up (5% redemption fee)
■ Fund-level gate:	12.5% per quarter (across classes)
■ Trustee:	Elian Trustees (Cayman) [formerly, Ogier Trustees (Cayman)]
■ Administrator:	Citco Fund Administration
■ Prime Broker:	Morgan Stanley & Co. International
■ Auditor:	Pricewaterhouse Coopers
■ Legal Counsel (Cayman):	Ogier
■ Legal Counsel (Japan):	Nagashima Ohno & Tsunematsu
■ Legal Counsel (US):	TBD





Contact Information

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